

a charge of \$468,689 against earned surplus and reserved 20,000 of the shares to compensate management in future years under agreements with respect thereto. In the three fiscal years ended Jan. 31, 1937, it issued 12,432 of these shares to management and charged the income accounts with the cost of these managerial services at the rate of \$5 per share, although the stock had cost the company considerably more and was selling in the market at prices substantially above \$5 per share at the times of issuance.

Fiscal year ending Jan. 31	Net income reported ¹	Net income on average cost basis ²	Net income on market value basis ³	Net income on cash com- pensation basis ⁴
1935	\$468,350	\$418,991	\$442,675	\$453,095
1936	446,650	402,445	423,718	432,080
1937	882,002	781,378	715,997	852,438

¹ After charging out the stock at \$5 per share.

² Charging income with the stock at its average original cost.

³ Charging income with the stock at its market value on the dates of distribution to management.

⁴ Charging income with the amount of cash compensation that the management had the option of taking in lieu of the stock.

The table above reveals the effect of these transactions on the income reported, as disclosed in the prospectus of the company, dated May 13, 1937.

NOTE 51

Following is a condensed summary of the more important points of difference that may arise between corporate income subject to income tax and the net earnings reported to the stockholders. These are based on the Revenue Act of 1939.